

statements, let alone the true independence of the independent auditor who attests to their conformity with generally accepted accounting principles? Small wonder that the engineering wonder of our age is *financial* engineering.

Am I arguing that our business *principals* of today are less ethical than their predecessors? No, not necessarily. But I am arguing that our business *principles* have been compromised. It wasn't so many decades ago that the standards in the conduct of business were close to absolute:

There are some things that one simply doesn't do.

But today we place our reliance on relative standards:

Everyone else is doing it, so I can do it, too.

Our society cannot and should not tolerate the substitution of moral relativism for a certain form of moral absolutism, and its debasement in the ethical standards of commerce.

“Only Capitalists Can Kill Capitalism”

We who are or have been principals in the world of business have a high obligation not only to establish unsparing principles modeled along professional lines for our firms and colleagues, but to preserve and protect and defend those principles. When we fail to do so, as we too often have of late, cynicism spreads widely across the populace and social ills are magnified. I can't make the case any better than did Felix Rohatyn, the widely respected former managing director of Lazard Freres, in the *Wall Street Journal* a few years ago:

I am an American and a capitalist and believe that market capitalism is the best economic system ever invented. But it must be fair, it must be regulated, and it must be ethical. The last few years have shown that excesses can come about when finance capitalism and modern technology are abused in the service of naked greed. Only capitalists can kill capitalism, but our system cannot stand much more abuse of